

Ethics, Goodwill, and Profit

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the tensions between profit and ethics and the necessity of balancing the two. Specifically, this lesson will cover:

1. Profitability and Success: Thinking Long Term

Nobel Prize-winning economist Milton Friedman stated in a now famous *New York Times Magazine* article in 1970 that the only “social responsibility of a business is to increase its profits.” As you might recall from earlier in this unit, there was even a legal precedent that companies must reward shareholders over other stakeholders. This concept took hold in business and even in business school education. However, although it is certainly permissible and even desirable for a company to pursue profitability as a goal, managers must also have an understanding of the context within which their business operates and of how the wealth they create can add positive value to the world. The context within which they act is society, which permits and facilitates a firm’s existence.

Thus, a company enters a **social contract** with society as a whole, an implicit agreement among all members to cooperate for social benefits. Even as a company pursues the maximization of shareholder profit, it must also acknowledge that all of society will be affected to some extent by its operations. In return for society’s permission to incorporate and engage in business, a company owes a reciprocal obligation to do what is best for as many of society’s members as possible, regardless of whether they are shareholders. Therefore, when applied specifically to a business, the social contract implies that a company gives back to the society that permits it to exist, benefiting the community at the same time it enriches itself.

In addition to taking this more nuanced view of profits, managers must also use a different timeframe for obtaining them. Wall Street’s focus on periodic (i.e., quarterly and annual) earnings has led many managers to adopt a **short-term perspective**, which fails to take into account effects that require a longer time to develop. For example, charitable donations in the form of corporate assets or employees’ volunteer time may not show a return on investment until a sustained effort has been maintained for years. A **long-term perspective** is a more balanced view of profit maximization that recognizes that the impacts of a business decision may not manifest for a longer time.

As an example, consider the business practices of Toyota when it first introduced its vehicles for sale in the United States in 1957. For many years, Toyota was content to sell its cars at a slight loss because it was accomplishing two business purposes: It was establishing a long-term relationship of trust with those who eventually would become its loyal U.S. customers, and it was attempting to disabuse U.S. consumers of their belief that items made in Japan were cheap and unreliable. The company accomplished both goals by

patiently playing its long game, a key aspect of its operational philosophy, “The Toyota Way,” which includes a specific emphasis on long-term business goals, even at the expense of short-term profit.

➔ **EXAMPLE** Similarly, Google did not turn a profit (or even attempt to turn one) for three years between their debut as a search engine in 1998 and when they introduced ads via the AdWords product in 2001. In those three years before they made a profit, they quickly established dominance in what until then was a competitive field of web-search engines and established a feeling of trust from consumers.

What contributes to a corporation’s positive image over the long term? Many factors contribute, including a reputation for treating customers and employees fairly and for engaging in business honestly. Companies that act in this way may emerge from any industry or country. Examples include Fluor, the large U.S. engineering and design firm; illycaffè, the Italian food and beverage purveyor; Marriott, the giant U.S. hotelier; and Nokia, the Finnish telecommunications retailer. The upshot is that when consumers are looking for an industry leader to patronize and would-be employees are seeking a firm to join, companies committed to ethical business practices are often the first to come to mind.



REFLECT

Are there any companies you favor because of their reputation? Are there any companies you avoid because of a bad ethical reputation?

Why should stakeholders care about a company acting above and beyond the ethical and legal standards set by society? Simply put, being ethical is simply good business. A business is profitable for many reasons, including expert management teams, focused and happy employees, and worthwhile products and services that meet consumer demand. One more very important reason is that they maintain a company philosophy and mission to do good for others.

Year after year, the nation’s most admired companies are also among those that had the highest profit margins. Going green, funding charities, and taking a personal interest in employee happiness levels adds to the bottom line! Consumers want to patronize companies that care for others and the environment. During the years 2008 and 2009, many unethical companies went bankrupt, due to questionable lending standards. However, those companies that avoided the “quick buck,” risky and unethical investments, and other unethical business practices often flourished, such as Citigroup, due to their focus on supporting community services, branding, and quality service (Riserbato, 2020). If nothing else, consumer feedback on social media sites such as Yelp and Facebook can damage an unethical company’s prospects.



BIG IDEA

Perhaps you are still thinking about how you would define success in your career. You can simply say that success consists of achieving your goals. All people have the right to choose the goals they want to accomplish in business, and, if you have chosen your goals with integrity, the actions you take to achieve them will be consistent with your character. Warren Buffet, whom many consider the most successful investor of all time, has the following to say: “Do nothing you would not be happy to have an unfriendly but intelligent reporter write about on the front page of a newspaper.” This is a very simple and practical guide to encouraging ethical business behavior on a personal level. Buffett offers another, equally wise, principle: “Lose money for the firm, even a lot of money, and I will be understanding; lose reputation for the firm, even a shred of reputation, and I will be ruthless.” As you saw in the example of Toyota, the importance of establishing and maintaining trust in the long term cannot be underestimated.



TERMS TO KNOW

Social Contract

An implicit agreement among all members of a community to cooperate for social benefits.

Short-Term Perspective

A view of profit maximization for the next quarterly or annual dividends.

Long-Term Perspective

A balanced view of profit maximization that recognizes that the impacts of a business decision may not manifest for a longer time.

2. Shareholders, Stakeholders, and Goodwill

Recall that stakeholders are all the individuals and groups affected by a business's decisions. Among these stakeholders are shareholders. Understanding the impact of a business decision on the shareholder and various other stakeholders is critical to the ethical conduct of business. Indeed, prioritizing the claims of various stakeholders in the company is one of the most challenging tasks business professionals face. Considering only shareholders can often result in unethical decisions; the impact on all stakeholders must be considered and rationally assessed.

Managers do sometimes focus predominantly on shareholders, especially those holding the largest number of shares, because these powerful individuals and groups can influence whether managers keep their jobs or are dismissed (e.g., when they are held accountable for the company's missing projected profit goals). And many believe the sole purpose of a business is, in fact, to maximize shareholders' short-term profits. However, considering only shareholders and short-term impacts on them is one of the most common errors business managers make. It is often in the long-term interests of a business not to accommodate stockowners alone but rather to take into account a broad array of stakeholders and the long-term and short-term consequences for a course of action.

Here is a simple strategy for considering all your stakeholders in practice. Divide your screen or page into three columns; in the first column, list all stakeholders in order of perceived priority. Some individuals and groups play more than one role. For instance, some employees may be shareholders, some members of the community may be suppliers, and the government may be a customer of the firm. In the second column, list what you think each stakeholder group's interests and goals are. For those that play more than one role, choose the interests most directly affected by your actions. In the third column, put the likely impact of your business decision on each stakeholder. This basic spreadsheet should help you identify all your stakeholders and evaluate your decision's impact on their interests. If you would like to add a human dimension to your analysis, try assigning some of your colleagues to the role of stakeholders and reexamine your analysis.

Impact of Layoffs

<u>Stakeholder</u>	<u>Interests</u>	<u>Impact</u>
Shareholders	Profits	Stock Value
Staff	Job Security	Lower Loyalty/ Motivation

The positive feeling stakeholders have for any particular company is called **goodwill**, which is an important component of almost any business entity, even though it is not directly attributable to the company's assets and liabilities. Among other intangible assets, goodwill might include the worth of a business's reputation, the value of its brand name, the intellectual capital and attitude of its workforce, and the loyalty of its established customer base. Even being socially responsible generates goodwill. The ethical behavior of managers will have a positive influence on the value of each of those components. Goodwill cannot be earned or created in a short time, but it can be the key to success and profitability.

A company's name, its corporate logo, and its trademark will necessarily increase in value as stakeholders view that company in a more favorable light. A good reputation is essential for success in the modern business world, and with information about the company and its actions readily available via mass media and the Internet (e.g., on public rating sites such as Yelp), management's values are always subject to scrutiny and open debate. These values affect the environment outside and inside the company. The corporate culture, for instance, consists of shared beliefs, values, and behaviors that create the internal or organizational context within which managers and employees interact. Practicing ethical behavior at all levels—from CEO to upper and middle management to general employees—helps cultivate an ethical corporate culture and ethical employee relations.



THINK ABOUT IT

Imagine that upon graduation you have the good fortune to be offered two job opportunities. The first is with a corporation known to cultivate a hard-nosed, no-nonsense business culture in which keeping long hours and working intensely are highly valued. At the end of each year, the company donates to numerous social and environmental causes. The second job opportunity is with a nonprofit recognized for a very different culture based on its compassionate approach to employee work-life balance. It also offers the chance to pursue your own professional interests or volunteerism during a portion of every workday.

The first job offer pays 40% more per year. Which would you choose and why?

Positive goodwill generated by ethical business practices, in turn, generates long-term business success. As recent studies have shown, the most ethical and enlightened companies in the United States consistently outperform their competitors. Thus, viewed from the proper long-term perspective, conducting business ethically is a wise business decision that generates goodwill for the company among stakeholders, contributes to a positive corporate culture, and ultimately supports profitability.

You can test the validity of this claim yourself. When you choose a company with which to do business, what factors influence your choice? Say you are looking for a financial advisor for your investments and retirement planning, and you have found several candidates whose credentials, experience, and fees are approximately the same. Yet one of these firms stands above the others because it has a reputation, which you discover is well earned, for telling clients the truth and recommending investments that seemed centered on the clients' benefit and not on potential profit for the firm. Wouldn't this be the one you would trust with your investments?

Or suppose one group of financial advisors has a long track record of giving back to the community of which it is part. It donates to charitable organizations in local neighborhoods, and its members volunteer service hours toward worthy projects in town. Would this group not strike you as the one worthy of your investments? That it appears to be committed to building up the local community might be enough to persuade you to give it your business. This is exactly how a long-term investment in community goodwill can produce a long pipeline of potential clients and customers.

Even for something as simple as making a purchase for yourself may be influenced by reputation. If two smart phones are approximately the same cost and have the same features, would knowledge that one company has a reputation for good employment practices while the other was discovered to use forced prison labor in another country compel you to choose the first? Perhaps even pay more to support a more ethical company?



TERM TO KNOW

Goodwill

The positive feeling stakeholders have for any particular company, including intangibles like the worth of a business's reputation, the value of its brand name, the intellectual capital and attitude of its workforce, and the loyalty of its established customer base.

3. A Brief Introduction to Corporate Social Responsibility

If you truly appreciate the positions of your various stakeholders, you will be well on your way to understanding the concept of **corporate social responsibility (CSR)**. CSR is the practice by which a business views itself within a broader context, as a member of society with certain implicit social obligations and environmental responsibilities. As previously stated, there is a distinct difference between legal compliance and ethical responsibility, and the law does not fully address all ethical dilemmas that businesses face. CSR ensures that a company is engaging in sound ethical practices and policies in accordance with the company's culture and mission, above and beyond any mandatory legal standards. A business that practices CSR cannot have maximizing shareholder wealth as its sole purpose, because this goal would necessarily infringe on the rights of other stakeholders in the broader society. For instance, a mining company that meets only minimal environmental regulation, while lobbying to keep those regulations low, infringes on the rights of people in the area around the plant to clean air and water. In fact, the effects may be felt on the environment long after the mine exhausts the natural resources and shuts down. A more ethical company would think about long term effects on the community and the environment, exceeding regulations, perhaps with slower profits but with a

more sustainable model that considers people and the planet, not just profits.

An additional perspective to take concerning CSR is that ethical business leaders opt to *dogood* at the same time that they do *well*. This is a simplistic summation, but it speaks to how CSR plays out within any corporate setting. The idea is that a corporation is expected to make money, but it should not *only* make money. It should also be a good civic neighbor and commit itself to the general prospering of society as a whole. It ought to make the communities of which it is part better at the same time it pursues legitimate profit goals. These ends are not mutually exclusive, and it is possible—indeed, praiseworthy—to strive for both. When a company approaches business in this fashion, it is engaging in a commitment to corporate social responsibility. In subsequent tutorials you will learn more about all that this entails across the levels of a corporation and how it applies to some specific industries.



TERM TO KNOW

Corporate Social Responsibility (CSR)

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SUMMARY

In this lesson, you learned how ethics can be seen as a necessary part of **profitability and success**, particularly in the **long term**. Ethics are largely about balancing the needs of **shareholders and other stakeholders**. You also read a **brief introduction to corporate social responsibility** (also called CSR), the way that businesses consider their role in their community and impact on the environment along with sustainable profits.

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REFERENCE

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